

Buffett's biggest position in 1959—taking up more than one-third of the partnerships' capital—was Sanborn Map. Sanborn published extremely detailed maps of power lines, water mains, driveways, building engineering, roof composition, and emergency stairwells for all the cities of the United States. Fire insurance companies purchased the bulk of Sanborn's maps, and they used them to conduct national underwriting activities from a central office. For 75 years the business operated as a virtual monopoly, with profits realized in each year and no need for strenuous sales activity. Buffett explained in his 1961 partnership letter that Sanborn was a vintage Graham stock: The business was shrinking as insurance companies merged—profitability was down from \$500,000 annually in the 1930s to around \$100,000 annually in 1958 on sales of \$2.5 million—but it owned an investment portfolio worth more than \$7 million or \$65 per share.⁷ The shares traded for \$45. Buffett noted that, in 1938, when Sanborn sold for \$110 per share, the investment portfolio was worth \$20 per share, implying a business value at that time of \$90 per share. By 1958, some 20 years later, the \$45 stock price then implied that the same map business was worth *negative* \$20 per share, or the investment portfolio worth 69 cents on the dollar with the map business thrown in for free.

The Buffett Partnerships bought 46,000 shares out of the 105,000 on issue—enough of Sanborn to have Buffett elected to the board. Prior to Buffett's elevation to the board, dividends had been cut five times in eight years, but, he noted dryly, he “could never find any record of suggestions pertaining to cutting salaries or director's and committee fees.”⁸ At his first board meeting in March 1959 Buffett learned why the stock was so cheap. The other board members were representatives of the insurance companies, Sanborn's biggest customers, and they held between them only a token 46 shares, one-one thousandth of Buffett's holding. Buffett proposed liquidating the investment portfolio and distributing it to the shareholders. The other board members were opposed, and immediately ruled out the idea. Later, Buffett proposed that the company take out all stockholders who wanted out with portfolio securities at fair value. The board agreed to avoid a proxy fight, which Buffett would have been certain of winning. Around 50 percent of the 1,600 shareholders, representing 72 percent of the stock, accepted the offer. Buffett subsequently noted in his partnership letter that such “control situations” would be infrequent. His “bread-and-butter” business was “buying undervalued securities and selling when the undervaluation is corrected along with investment in “special situations” where the profit is dependent on corporate rather than market action.”⁹

Buffett and Munger had continued talking on the telephone an hour or more daily after Munger returned to California. In 1962, Buffett talked him into forming his first investment partnership, Wheeler, Munger & Company. Run out of a tiny mezzanine office on Spring Street near the Skid Row section